

According to the most recent US Census data, a six-figure net worth puts you in the top 50 percent of American households. If you subtract home equity, the median household net worth is under \$50,000. While relatively rare for those on the standard path, people with a decent income and a high savings rate can achieve a six-figure portfolio quickly. A couple maxing out 401(k) contributions (limit \$19,000 per person in 2019) would hit this milestone in under three years without any investment growth or employer match. Maxing out a single 401(k) gets you there in a little over five years.

If you combine a six-figure net worth with an efficient lifestyle, this is a milestone where you may have enough wealth to support two to four years of living expenses. This provides a cushion, giving you the confidence to start using F-you money without short term consequences if it backfires.

4) Half FI

The fourth milestone is reaching Half FI. This is when your assets reach twelve and a half times your annual spending. While this is half the amount that the 4% Rule suggests you need to be FI, your journey to FI is likely more than half done. If you start with debt, it takes time just to get to zero. Then you have to save to have enough